

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ALIOUNE BADARA AND DORA MAE NDIAYE, *Claimants*

v.

FLEUR DE LIS WORLDWIDE, LLC, *Respondent*.

DOCKET NO. 1985(I)

Served: June 21, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimants Alioune Badara and Dora Mae Ndiaye initiated this small claim proceeding by filing a complaint with the Secretary alleging that Respondent Fleur De Lis Worldwide, LLC (“Fleur de Lis”) violated 46 U.S.C. §§ 41102(c), 41102(d)(1), and 41102(d)(2)(B) of the Shipping Act in connection with the delivery of Claimants’ cargo from Houston, Texas to Dakar, Senegal. Fleur De Lis denies Claimants’ allegations.

A. Background and Procedural History

Claimants hired Fleur de Lis, an ocean transportation intermediary (“OTI”) to ship their household goods and Nissan NV200 utility vehicle from Houston, Texas to Dakar, Senegal. In addition, Claimants purchased insurance coverage for their shipment, 18 pallets to load their goods, and storage of the goods at a warehouse until a 40’ high cube container to ship them could be obtained. When the goods arrived in Dakar, Claimants discovered that Respondent did not provide the pallets and that some of the goods were damaged. Claimants state that Respondent did not timely provide valid insurance documents to file an insurance claim for their damages and did not timely file documents needed for customs clearance of their goods, resulting in Customs inspection of their goods and accrual of demurrage charges. Claimants then filed a complaint with the Federal Maritime Commission (“FMC” or “Commission”), seeking reparations against Respondent.

On November 25, 2022, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment, instructing Fleur de Lis to file a response to the complaint by

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

December 20, 2022, and to indicate whether it consented to the use of the Commission's informal procedures at Subpart S for adjudication of the complaint. The Commission also assigned this proceeding to the Chief Administrative Law Judge ("Chief ALJ") to designate a small claims officer ("SCO") to adjudicate the proceeding. On December 20, 2022, Respondent filed a response to the complaint and consented to the use of the informal procedures. The Chief ALJ then assigned this proceeding to the undersigned for adjudication on December 28, 2022.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission's Rules, which authorize the SCO in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, on January 19, 2023, an order was issued directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses. On March 8, 2023, an Order to Submit Supplemental Information ("Order for Supplemental Information") was issued, directing the parties to provide certain information and documents by April 5, 2023, and permitting any party wishing to file a response to the opposing party's submission to do so by April 19, 2023. On April 5, 2023, Claimants submitted a response to the Order for Supplemental Information ("C. Supp. Info"). When no response was received from Respondent, on April 17, 2023, a Notice of Default was issued, instructing it to submit the requested information by April 24, 2023, and to explain why it failed to comply with the earlier deadline. On April 24, 2023, Respondent submitted the requested information, explaining that it had not received the Order for Supplemental Information because it "has been in the process of transferring to a new electronic communication from the ladder (sic) electronic address to the former electronic as part of the transition process." Fleur de Lis Response to Order to Submit Supplemental Information ("R. Supp. Info") pg. 5. On May 3, 2023, Claimants filed a reply to Respondent's submissions ("C. 2nd Supp. Info."). Fleur de Lis did not submit a reply to Claimants' response. On May 26, 2023, Fleur de Lis was ordered for the second time to provide a copy of its tariff rates and rules for the shipment at issue. It failed to provide the requested information. The record is now complete.

As discussed in greater detail below, Claimants fail to demonstrate that a violation of sections 41102(c), 41102(d)(1), and 41102(d)(2)(B) occurred. However, it is found that Respondent violated section 41104(a)(2)(A) by providing service in the liner trade that was not in accordance with its tariff rates and rules. Consistent with Commission precedence, Claimants are awarded as reparations the difference between what they paid to Fleur de Lis and the actual costs Fleur de Lis incurred to transport Claimants' cargo to the agreed destination.

B. Argument of the Parties

Claimants allege that Respondent engaged in "predatory practices" with regard to its charges for the transportation, that they "cannot exclude any irregularities in charges as the respondent provided preset fees that are non-negotiable," and that the "\$150 per pallet charged by the Respondent is outrageous." Complaint at 1. They further allege that Respondent violated section 41102(c) by not shipping 18 pallets they purchased from Respondent for \$2,700 and initially lying that Customs took the pallets, but then falsely claiming that the pallets had been rented rather than purchased when confronted with pictures from Customs showing that the pallets were never loaded into the container. Complaint at 2. Claimants maintain that they purchased the 18 pallets in full and paid a separate charge of \$1,275 to Respondents to load and secure their vehicle and personal effects for shipping. Complaint at 2.

In addition, Claimants state that Respondent retaliated against them in violation of section 41102(d)(1) by becoming “very belligerent and defensive” when Claimants asked for a refund for the pallets, and refused to provide Claimants with the insurance information needed to file a claim for goods that were damaged during shipping, instead telling Claimants to contact “Lloyds in Dakar,” an entity Claimants could not locate in Dakar. Complaint at 2. According to Claimants, when Respondent finally sent the insurance information, CNA, the insurance provider, stated that the policy number provided by Respondent did not match the bill of lading for the cargo. Complaint at 2. Claimants add:

When we asked Fleur de Lis about the pallets, Julie Turpin [owner of Fleur de Lis] who used to pick up the phone every single time [Claimant] Dora [Ndiaye] called quit answering our calls. We sent her an e-mail about the 18 missing pallets and the ‘CES per diem refundable deposit’ of \$3806. She never answered our calls, she instead sent us an e-mail and she allowed the employee named Ed Gripp to abuse us over the phone. It took them over a month to finally send the insurance certificate.

C. Supp. Info pg. 2-3 at no. 11.

Claimants also allege that Respondent discriminated against them, in violation of section 41102(d)(2)(B) by forcing them to work with Ed Gripp, Respondent’s employee, with whom Claimants “had a lot of disagreement,” and who “sabotaged the booking [of Claimants’ shipment] from start to finish.” Complaint at 2. In addition, Claimants allege that Respondent failed to timely send the proper paperwork, causing Customs to hold their goods for inspection. Complaint at 2. Claimants contend that:

Respondent Fleur De Lis Worldwide knew that the goods were going to Africa and they showed a complete attitude of irreverence towards the goods. They clearly capitalized on this opportunity and once the wire transfers hit their coffers they quit following up and making sure the Claimants goods received their attention.

Complaint at 2. Claimants also base their allegation of discrimination on the fact that Julie Turpin stated to them that, “[t]his is really bad. I have been in the business for over 30 years and the only time I’ve seen a container pulled by CBP they found weapons inside the container,” and because Claimants were informed by a CBP officer that Julie Turpin made a similar comment to him. C. Supp. Info pg. 2, at no. 12. Claimants believe that “it is more likely than not” that Julie Turpin made this discriminatory remark because Claimant Alioune Badara’s nickname is “Ali,” as well as in order to disguise Fleur de Lis’ negligence in the processing of the documents required by Customs. C. Supp. Info pg. 2, at no. 12.

Claimants seek as reparations \$15,301.31 of the \$20,754.55 they paid to Respondent, comprising: \$2,700 paid for the 18 pallets; \$3,806 paid for per diem; \$5,453.55 paid as fees for the Customs hold and inspection of their shipment due to negligence by Respondent; and \$3,341.76 in damages during shipping of their California King bed, motor vehicle, Charcoal BBQ Grill and Digital Rice Cooker. Complaint at 2, 3. “Claimants believe that Fleur de Lis did

not properly load and secure boxes on pallets as agreed. As a result, [the] items were damaged.” C. Supp. Info pg. 2, at no. 8. Claimants further contend that their insurance claim for the damaged goods “was closed due to lack of cooperation from Fleur de Lis Worldwide, LLC per CNA.” C. 2nd Supp. Info, pg. 2 at “Response to # 12.”

Respondent Fleur de Lis initially asserted in its answer to the Claim that Claimants failed to state a claim for relief and that the Commission lacks jurisdiction over the complaint but subsequently withdrew those defenses in its response to the Order for Supplemental Information. *See Answer*, pg. 1, R. Supp. Info. pg. 1 at no. 4. Respondent denies Claimants’ allegation that it showed irreverence towards the shipments because they were being shipped to Africa and that it retaliated against Claimants. *Answer* at 2. It asserts that all of Claimants’ allegations “are completely and utterly false.” *Answer* at 2. According to Respondent, it provided a rate quotation to Claimants, booked the cargo with the steamship line, provided title clearance and an insurance certificate to Claimants, communicated effectively as well as professionally throughout its business dealings with them, and provided them the documentation for their shipment. *Answer* at 2-3. Respondent states that the per diem charges disputed by Claimants accrued due to a hold placed on the shipment by the U.S. Customs but that “these were eventually waived and can be refunded.” C. Supp. Info pg. 2, at no. 6. When asked to provide its tariff rates and rules for the shipment Respondent asserted that the “shipment was booked based on a rate quotation from MSC. Tariff reference T8362112000879.” R. Supp. Info pg. 2, at no. 5. Upon a second request for the tariff Respondent then asserted: “The shipment at issue in this case was booked as NVOCC Negotiated Rate Arrangement. Attached is the tariff rule number 35.” Fleur de Lis Response to Second Order to Submit Supplemental Information (R. 2nd Supp. Info). Respondent did not submit the Negotiated Rate Arrangement (“NRA”) in question.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD (“PF”)

1. Claimants Alioune Badara and Dora Mae Ndiaye are individual shippers residing in San Antonio, Texas. *Complaint* pg. 1, 4.
2. Respondent Fleur de Lis is an FMC-licensed ocean transportation intermediary located in Humble, Texas. Its organization number and license number is 022461. *Answer* pg. 3 at No.2; www2.fmc.gov/oti/NVOCC.aspx.
3. Fleur de Lis, a limited liability company with Julie Turpin listed as its FMC contact, has been in business since 2010. R. Supp. Sum. Pg. 5 at 13.
4. On April 5, 2022, Claimants asked Fleur de Lis by email for a quote to ship a 40ft container of household goods and a vehicle in the week of May 15, 2022, from Houston, Texas to Dakar, Senegal, including insurance coverage of \$10,000. R. Supp. Ex. 1 at pg. 5.
5. On April 13, 2022, Fleur de Lis employee, Ed Gripp, contacted MSC, asking it to “quote Houston to Dakar 40’ with auto and personal effects (non haz).” R. Supp. Ex. 3 at pg. 6.
6. On April 14, 2022, MSC responded with a quote as follows:

Ocean Freight, Tariff Reference: T83621120000879
Port of Loading: Houston, Port of Destination: Dakar, Country: Senegal
40' DV-HC: \$2,620.00
Bunker Recovery Charge (BRC): \$500 (effective May 1, 2022)
Carrier Security Fee (CSF): \$11.00
International Ship and Port Security (ISPS): \$18.00
Low Sulfur Charge (LSC): \$40
Chassis Usage Charge (CUC): \$70
Port Additional Surcharge (PAD): \$120
Ship Pays Dues (SPD): \$20
Bill of Lading Documentation Fee + Wharfage and Handling Charge: \$50

Totaling \$3,449.00. R. Supp. Ex. 3 at pg. 1.

7. On April 14, 2022, at 10:17 AM, Ed Gripp sent an email whose contents appear to have been partially deleted, to Foreign Trade Export Packing Co. ("FTEPC") employee, Eric Hatz, stating: "any interest should be easy. Please advise. Tks, Ed." R. Supp. Ex. 5 at pg. 4.
8. On April 14, 2022, at 10:43, FTEPC employee, Eric Hatz, responded: "load, block, prepare for export auto and misc boxes PE. (No Hazardous or aerosols) \$850. Car must be delivered with minimal fuel, if car contains more than 1/8 tank, additional charges will apply. Dray \$575. I assume you will handle the customs clearance for the title?" R. Supp. Ex. 5 at pg. 4.
9. On May 13, 2022, Respondent made a booking with MSC to transport Claimant's shipment from Houston, Texas to Dakar, Senegal. R. Supp. Ex. 3 at pg. 1, 4.
10. MSC booking document no. EBKG03198257, dated May 13, 2022, lists Fleur de Lis Worldwide LLC, as the Shipper, Houston, Texas as the port of loading, Dakar, Senegal as the port of discharge, and describes the cargo to be transported as a 40' high cube containing household goods, personal effects and an automobile. R. Supp. Ex. 3 at pg. 4
11. On May 17, 2022, Julie Turpin sent an email to Claimant Badara stating in pertinent part: "Thank you for your call this morning. Ed [Gripp] and I discussed your shipment and in order to provide a quote to have the cargo stored at a warehouse until which time it can be loaded into a container, we need more details before the warehouse will provide us with a quotation . . . This is the reason Ed was requesting a picture of the storage units; in hope that the warehouse would quote us based on the photos." R. Supp. Ex. 1 at pg. 4.
12. Badara responded in pertinent part: "Attached are pictures I just took from both storages . . . I also would prefer you or someone else to handle the booking. I do not want to work with Ed [Gripp] anymore. He's been very rude this morning as if I was getting some freebies from him." R. Supp. Ex. 1 at pg. 4; Complaint Ex. E.
13. Following the above exchanges, Ed Gripp sent an email to Badara on May 17, 2022, as follows:

Afternoon Ali, I have some good news and some bad news first the good news they will receive and store til first receiving date but for it to fit on their storage racks they must put on pallets. I asked how many pallets and they said my guess was as good as theirs going on pics sent and I'm guessing 10 but that's a guess at \$150 per pallet that would be \$1500 in pallets. and \$350 to store till first receiving. Total \$1850 in additional charges hopefully the ship would sail on time . . . Please acknowledge and advise. Ed

R. Supp. Ex. 1 at pg. 3. Badara responded: "Message well received. My wife and I agree with your storage option. The number of pallets might change. You may send address details and instructions, please." R. Supp. Ex. 1 at pg. 3.

14. On May 26, 2022, Ed Gripp sent an email to Claimants stating:

Hope ya'll had a pleasant trip. Thanks for the list it turned out there were 18 pallets; 8 more than the 10 I guessed (18 pallets and some misc.) We had to use guess work because of your timing. Please wire the balance $8 \times 150 = \$1200.00$ so we can load in timely manner and make vessel. Note the vessel has slipped one week; this is not unusual in these times.

R. Supp. Ex. 1 at pg. 2. Claimants responded the same day: "Message well received, will wire the \$1200. R. Supp. Ex. 1 at pg. 1.

15. On June 14, 2022, FTEPC employee, Eric Hatz, sent an email stating: "18 pallets x 75 each Personal Effects. Load Block Brace Nissan van \$850. Dray \$575." R. Supp. Ex. 5 at pg. 4.
16. FTEPC Invoice number 22-MISC-27, dated 6/14/22, shows that FTEPC billed Fleur de Lis for Bill of Lading No. EBKG03198257, Port of Loading Houston, Port of Discharge Dakar in the amount of \$2,775.00, comprising:

Stretch Wrap/Load/Block/Brace (18) PLTS Personal Effects, \$75.00 EA --
-\$1,350.00
Load/ Block/Brace (1) Nissan Van---\$850.00
Roundtrip Container Drayage ---\$575.00
Container No. FCGU1668240 ---\$575.00

R. Supp. Ex. 5 at pg. 1.

17. On June 14, 2022, MSC sent an email to Respondent advising that a hold had been placed on Claimants' container by U.S. Customs and that charges of \$113.19 for Customs Inspection and \$150 Crane fees had been added to the booking fees. R. Supp. Ex. 2 at pg. 1.
18. On June 15, 2022, MSC again advised that U.S. Customs had just requested that the container be transferred to St. George Warehouse ("STG"), an off-site depot, for further

examination and a \$193.26 gate fee and Rollover/Demurrage fee would also be added to the booking. R. Supp. Ex. 2 at pg. 1.

19. Fleur de Lis submitted an invoice from STG dated July 7, 2022, in the amount of \$8,789.00, comprising:

Drayage CES Round Trip - \$850.00
CES Dray FSCH - \$350.00
CES Admin Fee - \$50.00
CES Facility Fee - \$100.00
Chassis Fee – 6/23-7/18 - \$1,170.00
CES Storage 6/23-6/28 - \$450.00
CES Unload/Reload - \$525.00
CES Whse Labor - \$1,063
CES Per Diem Refundable Dep - \$3,806
CES Per Diem Admin Fee - \$250.00
Port Congestion - \$175.00

R. Supp. Ex. 6.

20. On July 11, 2022, Julie Turpin sent an email to Claimant Dora Ndiaye stating in pertinent part:

The amount paid thus far is \$11,495 so you have a credit of \$370.00. The breakdown of what the charges paid are as follows: \$1,275.00 Load and secure the automobile and personal effect, \$865.00 Trucking (picking up the container from the Port empty and returning the load back to the port), \$350.00 Custom's Clearance, \$5,810.00 Ocean freight charges from Houston to Dakar, \$125.00 insurance, \$1,500 Loading the boxes on pallets (originally we estimated 10), \$1,200.00 8 additional pallets were requested. Cost for the additional 8 pallets. \$11,125.00 Total Paid. U.S. Custom's Hold expenses, St. George Warehouse \$8699.00. St. George offered a 90.00 discount on the Storage. MSC Additional Charges, Custom's Inspection fee of 113.19, Export Demurrage fee of 475.00, Crane Fee 150.00, Gate Fee 192.36, Total 930.55.

As per our conversation, I have gone to MSC and requested a reduction in the Ocean Freight, a waiver of the Per Diem fee \$3,806. 00, a waiver of the Custom's Inspection Fee of 113.19 and a waiver of the Export Demurrage of 475. Bear in mind that if we cancel the booking, we will still have to pay the warehouse charges, empty is returned to MSC, and trucking to bring the container to a warehouse and then return the empty back to the Port. If it were my shipment. I believe that it is best to let it ship but I will call you as soon as we have their response.

C. Supp. Ex. 10 at pg. 1-3.

21. Respondent did not provide any proof of payment for the invoices it submitted from other entities for the transportation of Claimants' cargo, even though it was asked to do so.
22. Respondent states that the charges incurred from MSC due to the hold placed on Claimants' container by U.S. Customs "were eventually waived [by MSC] and can be refunded." R. Supp. Info. pg. 2 at no. 6.
23. Respondent has not refunded Claimants' payment for the charges waived by MSC. *See* R. Supp. Info. pg. 2 at no. 6.
24. Claimants submitted Fleur de Lis' invoice no. 22-28746, dated 7/13/2022, and marked "Paid 05/18/2022," which shows that Respondent billed Claimant Dora Ndiaye for Bill of Lading No. EBKG03198257 in the amount of \$20,754.55, comprising:

Loading/Lashing ---\$1,275.00
Inland Trucking ---\$865.00
Customs Clearance ---\$350.00
Ocean Freight ---\$5810.00
Marine Insurance ---\$125.00
Handling Fee -Loading Boxes on Pallets ---\$2,700.00
Inspection ---\$8699.00
Demurrage - MSC ---\$865.00
Gate Fees (In/Out) - MSC ---\$150.00
Crane Fee - MSC ---\$192.36
Inspection - MSC ---\$113.19

Payments Applied - \$11,496
Balance Due is \$9,259.55

C. 2nd Supp. Info Ex 1.

25. Fleur de Lis also submitted its invoice no. 22-28746 dated 7/13/2022, and marked "Paid 07/14/2022," which shows that Fleur de Lis billed Claimant Dora Ndiaye for Bill of Lading No. EBKG03198257 in the amount of \$20,754.55, comprising:

Loading/Lashing ---\$1,275.00
Inland Trucking ---\$865.00
Customs Clearance ---\$350.00
Ocean Freight ---\$5810.00
Marine Insurance ---\$125.00
Handling Fee -Loading Boxes on Pallets ---\$2,700.00
Inspection ---\$8699.00
Demurrage - MSC ---\$475.00
Gate Fees (In/Out) - MSC ---\$150.00
Crane Fee - MSC ---\$192.36
Inspection - MSC ---\$113.19

C. 2nd Supp. Info Ex 1. Claimants state that they did not receive this invoice. C. 2nd Supp. Info pg. 1 at “Response to #4.” However, both invoices are virtually identical except that the first is marked “Paid 5/18/2022,” while the second invoice is marked “Paid 07/14/2022,” with no balance due.

26. In the Order for Supplemental Information issued March 8, 2023, Respondent was asked to provide its tariff rates and rules for the transportation. Respondent did not produce the requested tariff information, asserting that: “[t]his shipment was booked based on a rate quotation from MSC. Tariff reference T8362112000879.” C. Supp. Info pg. 2, at no. 5.
27. MSC Bill of Lading No. MEDUU5972085, submitted by the parties, lists the date of issue as July 29, 2022, the booking no. as EBKG03198257, the shipper as Fleur de Lis, the consignee as Ibrahima Diame S/C Malick Cisse, the port of loading as Houston, Texas, the port of discharge as Dakar, Senegal, the container as 40 High Cube Container, No. FCGU1668240, and the description of goods as one used 2015 Nissan Van and 18 bundles of household goods. R. Supp. Ex. 4.
28. On May 26, 2023, Respondent was asked for the second time to provide its tariff rates and rules for the shipment. Again, Respondent did not submit the requested tariff information, asserting this time that: “[t]he Shipment at issue in this [case] was booked as NVOCC Negotiated Rate Arrangement.” R. Resp. Second Request for Supp. Info., pg. 1.
29. Respondent did not submit the NVOCC Negotiated Rate Arrangement.
30. Respondent submitted a copy of its Tariff Rule No. 35, published and effective August 24, 2018. The tariff rule provides:
 1. Carrier may, in lieu of publishing a tariff rate, enter into an NVOCC Negotiated Rate Arrangement (“NRA”) with any NRA Shipper. The NRA shall contain the following elements:
 - (a) be in writing;
 - (b) contain the legal name of the parties; and contain the names of the representatives of the parties agreeing to the NRA;
 - (c) be agreed to by both NRA shipper and NVOCC, prior to the date on which the cargo is received by the carrier or its agent (including originating carriers in the case of through transportation);
 - (d) clearly specify the rate and the shipment or shipment to which such rate will apply; and
 - (e) may be amended after the time the initial shipment is received by the carrier or its agent (including originating carriers in the case of through transportation), however, such amendments will apply only prospectively to shipments not yet received by the carrier.

2. Carrier may assign each NRA a unique NRA number.
3. Carrier shall maintain records of each NRA in accordance with FMC regulations, 46 CFR 532.7.
4. Carriers governing rules tariff is provided to shippers at www.dpiusa.com in compliance with FMC regulations as provided in 46 CFR 532.7.
5. An NRA shall always take precedence over a tariff rate for the same commodity.
6. All rates agreed in an NRA, unless clearly stated to be all-inclusive, shall be subject to such charges and accessories as published in carriers governing tariff rules. The surcharges and accessories that will be applied to each NRA are those that are in effect as of the date the first shipment under each NRA is received by carrier, and such surcharges and accessories shall remain fixed at that level for the period the NRA is in effect, except when NRA note third-party surcharges which will apply on a pass-through basis.
7. NRAs proposed by or entered into by Carrier with an NRA shipper shall contain a confidentiality clause that reads as follows:

The NRA Shipper and Carrier agree that the NRA's Shipper's identity, the rates charges, terms and conditions offered and/or agreed in an NRA shall be kept confidential from any other shipper or carrier. Any breach of this confidentiality agreement may give rise to a cause of action for actual damages proven to result from such breach of confidentiality.

8. NRA Shipper's agreement to Carrier's NRAs may be provided by a signed agreement or via e-mail indicating acceptance of the NRA terms, or when NRA Shipper books a shipment after receiving the NRA terms from the Carrier and the following text in bold font and all uppercase letters is provided in the NRA:

“THE SHIPPER’S BOOKING OF CARGO AFTER RECEIVING THE TERMS OF THIS NRA OR NRA AMENDMENT CONSTITUTES ACCEPTANCE OF THE RATES AND TERMS OF THIS NRA OR NRA AMENDMENT.”

R. 2nd Supp. Info. Ex. 1. This tariff rule is similar to section 532.5 of the Commission's regulations, which contains the provisions for NRAs. *See* 46 C.F.R. §532.5.

31. The parties submitted emails between themselves discussing loading and storage arrangements for the shipment, payments received from Claimants, and the balance owed by Claimants. R. Supp. Ex. 1 at pg. 4.
32. In the Order for Supplemental Information issued March 8, 2023, Claimants were asked to provide a copy of any contract agreement or other proof of the agreement for the transportation in dispute. Order for Supp. Info pg. 1 at no. 1. Claimants responded as follows: “The bills of Lading are the only proof of the agreement Claimants received from Fleur de Lis Worldwide, LLC.” C. Supp. Info pg. 1 at no. 1.
33. In the Order for Supplemental Information issued March 8, 2023, Respondent was asked to provide its house bill of lading and the master bill of lading for the transportation as well as “a copy of all agreements between Claimants and Fleur de Lis and any other shipping documents related to the transportation of the shipments at issue.” Order for Supp. Info pg. 1 at no. 1. Respondent submitted only the MSC bill of lading for the transportation. *See* R. Supp. Info pg. 1 at no. 1.
34. On September 15, 2022, Claimants sent an email to Julie Turpin, stating in pertinent part:

The container was delivered to us Saturday, September 10th 2020. We broke the seal ourselves (our representative in Senegal did). Everything was in total disarray with complete disregard of our belongings. We have already documented some broken items but we are still unpacking. It is still premature to confirm the extent of the damages. That’s why we bought insurance, right? So we are not blaming Fleur de Lis, Worldwide for what happened with U.S. Customs inspection.

Your company hired a third party, Foreign Trade Export to pack and palletize our goods but didn’t deal with them directly. We purchased 18 pallets for \$2700 and not a single pallet made it to destination. That’s \$2700 we paid to Fleur de Lis Worldwide. We reached out to Juan Maldonado at STG Logistics, the location where U.S. Customs unloaded the container for inspection. He informed us that he did not see a single pallet in the container when they opened it.

C. Supp. Ex. 8 at pg. 1. Responding to Claimants regarding the missing pallets, Ed Gripp stated in pertinent part:

Concerning the pallets, I did not see them but based on the looseness of cargo they may not have been. The typical shape of pallets i.e. not square some might of looked more like bundles etc depending on what the pallet contained and we don’t know what customs may of done during inspection. They may not of put the bundles/pallets back together and probably didn’t the ones they took apart. We had to assign a value for each bundle for insurance purposes which was difficult. Not knowing what each piece contained we insured it for approx.. 4k more than the 10k Ali

requested. Your best course of action now is to file a claim w/Lloyds in Dakar. They will want specifics so have as much backup as you can. Good luck.

C. Supp. Ex. 8 at pg. 2-3.

35. Claimants purchased insurance for their shipment and Fleur de Lis provided a certificate of insurance listing CNA as the insurance provider, the certificate no. as 11230432, the policy number as 1015626, the date of issue as June 3, 2022, the reference information as booking no. EBKG03198257, the place of origin as Houston, Texas, the final Destination as Dakar, Senegal; the insured value as \$15,750.00, and the description of goods as “18 pallets valued at \$875 each, Pieces and Weights, 18 shrink wrapped pallets.” C. Supp. Info. Ex. 4.
36. Claimants filed an insurance claim with CNA, the insurance provider, but it denied their claim. C. 2nd Supp. Info. pg. 2 at “Response to # 12.”
37. MSC Bill of Lading No. MEDUU5972085 does not list the 18 pallets in the description of goods shipped. R. Supp. Ex. 4.
38. Pictures taken of the contents of Claimants’ container do not show any pallets in the container. See Complaint Ex. B; R. Supp. Ex. 9.

III. DISCUSSION

A. Controlling Authority

Respondent Fleur de Lis is licensed by the Commission as an ocean transportation intermediary. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). An “ocean freight forwarder” is a person that –

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19). An NVOCC is “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
-

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Claimants allege that Respondents violated section 41102(c), which provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Claimants also allege that Respondent retaliated against them in violation of section 41102(d)(1), and discriminated against them in violation of section 41102(d)(2)(B). The sections in question forbid “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly,” to “retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation (46 U.S.C. § 41102(d)(1)) or resort to any other unfair or unjustly discriminatory action for any other reason” (46 U.S.C. § 41102(d)(2)(B)).

The Shipping Act requires common carriers to “keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. § 40501(a)(1). The Shipping Act prohibits a “common carrier, either alone or in conjunction with any other person, directly or indirectly” to provide service in the liner trade, that is “not in accordance with the rates, charges, classifications, rules and practices contained in a tariff published or a service contract.” 46 U.S.C. § 41104(a)(2)(A).

Respondent asserts that Claimant’s cargo was transported pursuant to an NRA between the parties. The Commission’s regulations guiding NRAs are set forth at Part 532 of the Commission’s regulations. Part 532 exempts duly licensed or registered NVOCCs from certain listed regulatory requirements and Shipping Act prohibitions, including 46 U.S.C. § 40501(a)’s requirement that an NVOCC include its rates in a tariff open to a public inspection in an automated tariff system. *See* 46 C.F.R. § 532.2. An NRA “means a written and binding arrangement between an NRA shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after receipt of the cargo by the NVOCC.” 46 C.F.R. § 532.3(a). The requirements for NRAs are provided at section 532.5 which states:

In order to qualify for the exemptions to the general publication requirement as set forth in § 532.2, an NRA must meet the following requirements:

- (a) **Writing.** The NRA must be in writing.
- (b) **Parties.** The NRA must contain the names of the parties and the names of the representatives agreeing to the NRA.
- (c) **Agreement.** The terms of the NRA must be agreed to by both NRA shipper and NVOCC, prior to receipt of cargo by the NVOCC. The shipper is considered to have agreed to the terms of the NRA if the shipper:
 - (1) Provides the NVOCC with a signed agreement;
 - (2) Sends the NVOCC a written communication, including an e-mail, indicating acceptance of the NRA terms; or
 - (3) Books a shipment after receiving the NRA terms from the NVOCC, if the NVOCC incorporates in the NRA terms the following text in bold font and all uppercase letters:
“THE SHIPPER’S BOOKING OF CARGO AFTER RECEIVING
THE TERMS OF THIS NRA OR NRA AMENDMENT
CONSTITUTES ACCEPTANCE OF THE RATES AND TERMS
OF THIS NRA OR NRA AMENDMENT.”
- (d) **Rates and terms –**

(1) **General.** The NRA must clearly specify the rate and terms, as well as the shipment or shipments to which such rate will apply.

(2) ***Surcharges, accessorial charges, and GRIs.***

- (i) If the rate is not an “all-in rate,” the NRA must specify whether additional surcharges, additional assessorial charges, or ocean common carrier general rate increases (“GRIs”) will apply.
- (ii) The NRA may list the additional surcharges or assessorial charges, including pass-through charges, or reference specific surcharges or accessorial charges in the NVOCC's rules tariff.
- (iii) If the additional surcharges or assessorial charges are included in the NVOCC 's rules tariff, those additional surcharges or assessorial charges and the corresponding amounts specified in the rules tariff must be fixed once the first shipment has been received by the NBC until the last shipment is delivered, subject to an amendment of the NRA.
- (iv) For any pass-through charge for which a specific amount is not included in the NRA or the rules tariff, the NVOCC may only invoice the shipper for charges the NVOCC incurs, with no markup.

(3) ***Non-rate economic terms.*** The NRA may include non-rate economic terms.

(e) ***Amendment.*** The NRA may be amended after the time the initial shipment is received by the NVOCC, but such changes may only apply prospectively to shipments not yet received by the NVOCC.

46 C.F.R. § 532.5

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. Thus, a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct

evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993) adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *See Greenwich Collieries*, 512 U.S. at 281.

C. Claimant Fails to Demonstrate that Fleur de Lis Violated Sections 41102(c), 41102(d)(1), and 41102(d)(2)(B)

Section 41102(c)

Claimant alleges that Respondent violated section 41102(c) by failing to ship the 18 pallets they purchased and falsely claiming that U.S. Customs took the pallets, when in fact, the pallets had never been shipped. Complaint at 1-2. To succeed in a claim for reparations under section 41102(c), the claimant must show that: 1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; 2) the alleged illegal conduct is “occurring on a normal, customary, and continuous basis;” 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; 4) the alleged practice or regulation is unjust or unreasonable; and, 5) the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. *See* 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d). All five elements must be proven in order to recover reparations.

The evidence shows that Claimants paid Respondent \$2,700 for 18 pallets (FFs 13, 14, 20, 24, 25, 34), that Respondent listed the 18 pallets under the insurance certificate it provided to Claimants for the shipment, ascribing a value of \$875 per pallet to the pallets in the insurance certificate (FF 35), and that Claimants’ container did not contain the pallets at the time of shipping (FF 37 and 38). When the pallets failed to arrive, Claimants contacted Respondent and it told Claimants to file an insurance claim for the pallets (FF 34). Since the pallets were never provided for shipping, they could not be reimbursed under the insurance coverage which only applies to losses incurred during shipping. Since Respondent omitted to ship the pallets, they should have refunded the purchase price paid by Claimants.

Nevertheless, the evidence does not demonstrate that a section 41102(c) violation occurred. Even if Respondent was found to have acted unjustly and unreasonably by not refunding the cost of the 18 pallets, there is no evidence suggesting that Respondent engaged in similar conduct on other occasions, an element necessary to find that it violated section 41102(c). In *Ngobros and Co.*, the Commission stated: “finding a section [41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. Properly interpreted, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis.” *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 FMC LEXIS 85, at *4 (FMC 2019) (internal citations omitted). Accordingly, the evidence does not support a finding that Respondent violated section 41102(c).

Section 41102(d)(1)

Claimants allege that Respondent “became very belligerent and defensive” and retaliated against them in violation of section 41102(d)(1) because they asked for a refund of their payment for the 18 pallets that were not shipped. Complaint at 2. Claimants state in support of their claim:

When we asked Fleur de Lis about the pallets, Julie Turpin who used to pick up the phone every single time Dora called quit answering our calls. We sent her an e-mail about the missing pallets and the “CES per diem refundable deposit of \$3806.” She never answered our calls, she instead sent us an e-mail and she allowed the employee named Ed Gripp to abuse us over the phone. It took them over a month to finally send us the insurance certificate.

C. Supp. Info. pg. 2-3, at no. 11.

Section 41102(d)(1) forbids a “common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly,” to “retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation.” 46 U.S.C. § 41102(d)(1)).

There is no indication that Respondent refused or threatened to refuse to ship Claimants’ goods because they asked for a refund for the pallets that were not shipped. To the contrary, the evidence shows that Claimants’ request for a refund occurred after their shipment was shipped and delivered and that Respondent’s representatives, Julie Turpin and Ed Gripp, replied to Claimants and instructed them to file a claim under the insurance policy for the shipment (FF 33). Without more, the failure by Respondent to timely provide the necessary insurance paperwork for the shipment is not proof that Respondent retaliated against Claimants. Accordingly, Claimants fail to show that Respondent violated section 41102(d)(1).

Section 41102(d)(2)(B)

Similarly, Claimants fail to establish that Respondent discriminated against them in violation of section 41102(d)(2)(B). Complaint at 2. Section 41102(d)(2)(B) forbids “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly to resort to any other unfair or unjustly discriminatory action for any other reason.” 46 U.S.C. § 41102(d)(2)(B). In *Isbrandtsten*, the Supreme Court clarified that the sections in the Shipping Act prohibiting regulated entities “to resort to any other unfair or unjustly discriminatory action” are “confined to practices designed to stifle outside competition” and not “a flat and unqualified prohibition of any discrimination by a carrier for any reason.” *Federal Maritime Bd. v. Isbrandtsten Co.*, 356 U.S. 481, 495 (1958) (Internal quotation marks omitted).

Here, Claimants allege that Respondent’s employee, Ed Gripp, “handle[d] the booking [of the shipment] and sabotaged it from start to finish,” that Respondent did not timely send the proper paperwork for the shipment to Customs, and they “believe that Respondent Fleur De Lis Worldwide knew that the goods were going to Africa and they showed a complete attitude of irreverence towards the goods.” Complaint at 2. They maintain:

When the container was pulled by Customs and Border Protection (CBP), Julie Turpin was the only one who communicated with them. She told us over the phone: “This is really bad. I have been in the business over 30 years and the only time I’ve seen a container pulled by CBP they found weapons inside the container.” I replied that I was not worried about that and I do not even have a firearm. She kept insisting and she told the same story to the CBP agent as if she was instigating something. Because my nickname is “Ali”, it is more likely than not that Julie Turpin brought up such discriminatory remarks to justify why the container was pulled by CBP and disguise Fleur de Lis negligence. When Dora finally spoke to CBP officer Schaffer, he indicated that Julie Turpin told him the same story and that they didn’t find any weapons in the container.

C. Supp. Info. pg. 3, at no. 12. The discrimination alleged by Claimants does not constitute a “practice[] designed to stifle outside competition” falling under the ambit of section 41102(d)(2)(B). Accordingly, Claimant’s section 41102(d)(B) is also dismissed.

D. The Evidence Shows that Fleur de Lis Violated Section 41104(a)(2)(A)

Claimants, who are pro se, allege that Fleur de Lis engaged in “predatory” pricing, that there were “irregularities in charges” it imposed for the transportation, and that some of the charges were “outrageous.” Complaint at 1. Fleur de Lis was asked on two separate occasions to provide its tariff supporting its charges for the transportation but failed to do so. The Shipping Act requires common carriers to “keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. § 40501(a)(1). Section 41104(a)(2)(A) forbids common carriers to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract . . . unless excepted or exempted.” 46 U.S.C § 41104(a)(2)(A).

Fleur de Lis does not argue that its charges for the transportation at issue appear in its published tariff. Instead, it makes conflicting assertions – first, claiming that the “shipment was booked based on a rate quotation from MSC. Tariff reference T8362112000879” (C. Supp. Info pg. 2, at no. 5), and then later claiming that “[t]he Shipment at issue in this [case] was booked as NVOCC Negotiated Rate Arrangement.” R. Resp. Second Request for Supp. Info.

The Commission’s regulations guiding NRAs appear at Part 532 of the Commission’s regulations, which among other listed exemptions, relieves licensed and registered NVOCCs providing transportation under an NRA from the obligation to comply with section 40501(a)’s requirement that the rates for that transportation must appear in a tariff open to a public inspection in an automated tariff system. *See* 46 C.F.R. § 532.2. An NRA “means a written and binding arrangement between an NRA shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after receipt of the cargo by the NVOCC.” 46 C.F.R. § 532.3(a).

To exempt an NVOCC from the general requirement that it publish its rates for a transportation in a tariff, the NRA for the transportation in question must: (a) be in writing; (b)

contain the names of the parties and the names of the representatives agreeing to the NRA; (c) the terms of the NRA must be agreed to by both the NRA shipper and the NVOCC prior to receipt of cargo by the NVOCC. The shipper is considered to have agreed to the terms of the NRA if the shipper provides the NVOCC with a signed agreement; sends the NVOCC a written communication, including an e-mail, indicating acceptance of the NRA terms; or books a shipment after receiving the NRA terms from the NVOCC, if the NVOCC incorporates in the NRA terms the following text in bold font and all uppercase letters: "THE SHIPPER'S BOOKING OF CARGO AFTER RECEIVING THE TERMS OF THIS NRA OR NRA AMENDMENT CONSTITUTES ACCEPTANCE OF THE RATES AND TERMS OF THIS NRA OR NRA AMENDMENT;" (d) the NRA must clearly specify the rate and terms, as well as the shipment or shipments to which such rate will apply. *See* 46 C.F.R. § 532.5.

Fleur de Lis did not submit the NRA it claims to have entered into with Claimants and does not identify any document in the record as the NRA in question. Moreover, none of the documents submitted by the parties satisfy the NRA requirements under the Commission's regulations sufficient to exempt Fleur de Lis from the regulatory requirement to charge the rates reflected in its published tariff. The record contains an initial email from Claimants asking Fleur de Lis for a quote for the transportation but no written communications between the parties agreeing to ocean freight for the transportation. The emails submitted by the parties reflect their discussions surrounding the loading and storage of the shipment at issue, payments received from Claimants, and the outstanding balance said to be owed by Claimants. The emails refer to telephone calls between the parties regarding their arrangements for the shipment, suggesting that any agreements between them occurred during these telephone conversations. The emails do not show any "written and binding arrangement" between the parties for the transportation. Moreover, the emails do not reflect that Fleur de Lis provided a written NRA containing the terms of the transportation to Claimants and that Claimants booked their shipment after receiving an NRA from Fleur de Lis.

Further, both parties were specifically asked to submit any agreements between them for the transportation. *See* Order for Supplemental Information, pg. 1 at no. 1 and pg. 3 at nos. 1 and 2. In response, both parties provided MSC's bill of lading for the transportation, with Claimants asserting that "[t]he bills of Lading are the only proof of the agreement Claimants received from Fleur de Lis Worldwide, LLC." C. Supp. Info pg. 1 at no. 1. *See also* R. Supp. Info pg. 1 at nos. 1 and 2 (where Fleur de Lis provides a copy of the MSC bill of lading in response to the Order). Indeed, Fleur de Lis' own testimony that "this shipment was booked based on a rate quotation from MSC" contradicts its claim that the parties entered into an NRA for the transportation. *See* R. Supp. Info. pg. 2 at no. 5.

Accordingly, the evidence contradicts Fleur de Lis' claim that it entered into an NRA with Claimants. Since there was no NRA between the parties, Fleur de Lis was required to charge rates for the transportation in accordance with its published tariff, which it did not. Therefore, the evidence shows that Fleur de Lis provided service in the liner trade that was not in accordance with the rates, charges, classifications, rules, and practices of its published tariff, in violation of section 41104(a)(2)(A).

E. Reparations

Claimants request reparations in the amount of \$15,301.31, comprising:

\$2,700 they paid for the pallets;
\$3,341.76 for damage to their California King bed, 2015 Nissan NV200 windshield, Americana Charcoal BBQ Grill and Aroma Digital Rice Cooker during the shipping of their cargo;
\$3,806 they paid for per diem;
\$5,453.55 they paid for the Customs hold and inspection of their shipment.

C. Supp. Info. pg. 2, at no. 8.

Claimants' request for reparations is partially granted and partially denied as follows:

1. Claims for Damaged Cargo

Claimants ask that they be awarded the cost of their damaged cargo because they "believe that Fleur de Lis did not properly load and secure boxes on pallets as agreed. As a result, [the] items were damaged." C. Supp. Info pg. 2, at no. 8. Fleur de Lis referred Claimants to CNA, the insurance provider, to file a claim but Claimants state that their "case was closed due to lack of cooperation from Fleur de Lis Worldwide, LLC per CNA." Claimants' Reply to Fleur de Lis Response to Supplemental Information ("C. 2nd Supp. Info."), pg. 2 at Response to # 12. In addition, Claimants ask for reimbursement of the \$2,700 pallets they purchased from Fleur de Lis.

The Commission has no jurisdiction to adjudicate claims for lost or damaged cargo. The Carriage of Goods by Sea Act (COGSA), 46 U.S.C. § 30701 Note (2007), governs disputes arising from loss and damage of cargo "from the time when the goods are loaded [on board a vessel] on to the time when they are discharged from the ship." *Norfolk Southern Ry. Co. v. Kirby*, 543 U.S. 14, 29 (2004). Under COGSA, jurisdiction to adjudicate loss and damage claims arising from transportation by ocean is vested in the federal district courts. Moreover, Claimants indicate that they filed a claim with the insurance company for their damages. The claim for reparations in the amount of \$3,341.76 for Claimants' damaged cargo is thus denied.

2. Claims for Reimbursement of Customs Inspection Payment

Claimants also seek reimbursement for the charges they paid related to the Customs inspection of their goods. Claimants contend that "Fleur de Lis neglected to send the proper paperwork to Customs on time as evidenced by the Respondent comment 'Customs is asking me for the paperwork and I already gave it to them.'" Complaint at 2. Claimants cite to an email from Julie Turpin on July 18, 2022, stating:

As per our telephone conversation, the container is in loaded at the Port of Houston but MSC has rolled the cargo stating that we did not provide sufficient Title clearance on the automobile when this was provided to them on 6/13 and then again they requested on 7/14 and we sent immediately asking if there was anything else needed. I've resent the documentation and MSC advised that they

have removed the charges that they added to the booking but they still could not sail on the Maersk Kansas. We are scheduled now to load on board the Maersk Tennessee sailing 7/29 and scheduled to arrive into Dakar on 8/26.

Complaint, Ex. F. Claimants state that they “do not have the privilege to access documents that would confirm [their] suspicion but it is more likely than not that Respondent did not provide said documents in a timely manner.” C. Supp. Info. pg. 2 at no. 6.

Even supposing the above email from Fleur de Lis proves that it “neglected to send the proper paperwork to Customs,” which it does not, Claimants do not provide any evidence to support their allegation that Customs chose to inspect the container because of something Respondent did. While in the absence of direct evidence inferences may be drawn from certain facts, a factfinder may not rely on mere speculation. *See, e.g., Waterman S.S. Corp.* at 1180. Claimants’ request for a refund of the Customs inspection fees is thus also denied.

3. Other Charges

Fleur de Lis is found to have imposed charges for the transportation that were not contained in its published tariff. In *CMI*, where the NVOCC was similarly found to have violated section 41104(a)(2)(A), the Commission stated that:

Commission case law allows shippers to recover reparations for charges paid to NVOCCs operating without a published tariff in violation of § 41104(a) because the NVOCC has collected charges beyond its actual disbursements. Nonetheless, a shipper in that situation has received something it wanted – the transportation of its cargo from A to B. The shipper’s actual injury is thus whatever it paid the NVOCC, less whatever payments were made by the NVOCC that the shipper would otherwise have had to pay. This calculation method is consistent with 46 U. S. C. § 41305(b), which provides that the Commission ‘shall direct the payment of reparations to the complainant for actual injury caused by violation of this part.’ Subtracting from the reparations the pass-through charges the NVOCC paid on the shipper’s behalf also prevents the shipper from unfairly receiving a windfall. This approach is also consistent with the Commissions approach under the Shipping Act of 1986.

CMI Distribution Inc. v. Service by Air, Inc., FMC Docket No. 17-05, 2021 WL 3367603, at *17, 3 FMC 2d 83, 100 (FMC July 26, 2021) (internal citations and quotation marks omitted). Therefore, Claimants are entitled to recover their payments less whatever costs Fleur de Lis incurred on their behalf that Claimants would otherwise have had to pay. Fleur de Lis failed to provide proof of any payments it made on behalf of Claimants (FF 21); however, the record contains a copy of invoices Fleur de Lis received for Claimants’ shipments.

Invoice from Foreign Trade Export Packing Co.

The invoice from FTEPC, the warehouse where Claimants’ shipment was delivered for shipping, shows that it billed \$2,775.00 for its services, comprising:

Stretch Wrap/Load/Block/Brace (18) PLTS Personal Effects, \$75.00 EA --
-\$1,350.00
Load/ Block/Brace (1) Nissan Van---\$850.00
Roundtrip Container Drayage ---\$575.00

FF 8, 16, R. Supp. Ex. 5 at pg. 1. The pallets were not provided to Claimants, therefore, the \$1,350 charged for the pallets will be deducted. After deducting the cost of the pallets, Claimants would have had to pay FTEPC \$1,425 for its services.

Invoice from MSC

MSC quoted ocean freight of \$3,449.00 for the transportation, comprising:

40' DV-HC: \$2,620.00
Bunker Recovery Charge (BRC): \$500 (effective May 1, 2022)
Carrier Security Fee (CSF): \$11.00
International Ship and Port Security (ISPS): \$18.00
Low Sulfur Charge (LSC): \$40
Chassis Usage Charge (CUC): \$70
Port Additional Surcharge (PAD): \$120
Ship Pays Dues (SPD): \$20
Bill of Lading Documentation Fee + Wharfage and Handling Charge: \$50

FF6, R. Supp. Ex. 3, pg. 1. Based on this quote, Claimants would have had to pay MSC ocean freight in the amount of \$3,449.

Invoice from St. George Logistics Warehouse.

The invoice from STG, the warehouse where Customs directed that Claimants' shipment be taken for Customs Inspection, shows that it issued an invoice for \$8,789.00, comprising:

Drayage CES Round Trip - \$850.00
CES Dray FSCH - \$350.00
CES Admin Fee - \$50.00
CES Facility Fee - \$100.00
Chassis Fee – 6/23-7/18 - \$1,170.00
CES Storage 6/23-6/28 - \$450.00
CES Unload/Reload - \$525.00
CES Whse Labor - \$1,063
CES Per Diem Refundable Dep - \$3,806
CES Per Diem Admin Fee - \$250.00
Port Congestion - \$175.00

FF 19, R. Supp. Ex. 6.

In its notification regarding the Customs Inspection hold, MSC informed Fleur de Lis that additional fees of \$113.19 for Customs Inspection, \$150 Crane Fees, \$193.26 gate fees and for

rollover/demurrage fees would be billed to the shipment. FF 16, 17. However, in an email dated July 11, 2022, Julie Turpin informed Claimant Dora Ndiaye that “St. George offered a 90.00 discount on the Storage” and that: “As per our conversation, I have gone to MSC and requested a reduction in the ocean freight, a waiver of the Per Diem fee \$3,806, a waiver of the Customs Inspection Fee of \$113.19 and a waiver of the Export Demurrage of 475.” FF 20, C. Supp. Ex. 10 at pg. 1-3. In its response to the Order for Supplemental Information, Fleur de Lis states that these charges “were eventually waived and can be refunded.” R. Supp. Info. pg. 2 at no. 6. In light of this evidence, the charges for “CES Per Diem Refundable Dep” in the amount of \$3,806, “CES Per Diem Admin Fee” of \$250.00, and \$90 for the discount offered by STG will be deducted from the STG invoice, reducing the amount Claimants would have had to pay STG to \$4643.

Invoice from Fleur de Lis.

The invoice dated 7/13/2022, submitted by Fleur de Lis shows that Claimants paid Fleur de Lis \$20,754.55 for charges comprising:

- Loading/Lashing ---\$1,275.00
- Inland Trucking ---\$865.00
- Customs Clearance ---\$350.00
- Ocean Freight ---\$5810.00
- Marine Insurance ---\$125.00
- Handling Fee -Loading Boxes on Pallets ---\$2,700.00
- Inspection ---\$8699.00
- Demurrage - MSC ---\$475.00
- Gate Fees (In/Out) - MSC ---\$150.00
- Crane Fee - MSC ---\$192.36
- Inspection - MSC ---\$113.19

C. 2nd Supp. Info Ex 1. The \$8,699.00 “Inspection” fee in Fleur de Lis’ invoice is based on STG’s invoice charges, which have already been addressed and the appropriate charges deducted from Claimant’s award. Also, since Fleur de Lis states that it requested and was granted a waiver of MSC’s demurrage and inspection fees, it is found that the only remaining charges under Fleur de Lis’ invoice that Claimants would have had to pay are: the “Marine Insurance” charges in the amount of \$125.00, the “Gate Fees (In/Out) - MSC” in the amount of \$150, and, the “Crane Fee – MSC” in the amount of \$192.36, totaling \$467.36 (\$125 + \$150 + \$192.36).

Based on the foregoing evidence and calculations, Fleur de Lis incurred charges totaling \$9,984.36 for the transportation of Claimants’ shipment that Claimants would otherwise have had to pay (\$1425.00 (FTEPC charges) + \$3,449.00 (MSC ocean freight) + \$4,643.00 (STG charges) + \$467.36 (MSC Gate and Crane fees and insurance fees)). After deducting payments Claimants would otherwise have had to pay from the amount they paid to Fleur de Lis, I conclude that Claimants suffered actual injury in the amount of \$10,770.19 (\$20,754.55 - \$9,984.36) and are entitled to recover reparations in that amount.

IV. CONCLUSION

Claimants failed to demonstrate that Fleur de Lis violated sections 41102(c), 41102(d)(1), and 41102(d)(2)(B). However, the evidence supports a finding that Fleur de Lis violated section 41104(a)(2)(A). Claimants are granted reparations in the amount of \$10,770.19.

IV. ORDER

Upon consideration of the evidence of record, arguments of the parties, and the foregoing findings and conclusion that Respondent Fleur de Lis violated section 41104(a)(2)(A), and that Claimants suffered actual injury in the amount of \$10,770.19 as a result of the violation, it is hereby

ORDERED that Claimants Alioune Badara and Dora Mae Ndiaye's claim for reparations be **GRANTED**. It is

FURTHER ORDERED that Respondent Fleur de Lis pay reparations in the amount of \$10,770.19, to Claimants Alioune Badara and Dora Mae Ndiaye.



Theresa Dike
Small Claims Officer